

# Q3 Financial Report: Enterprise SaaS Growth and Cloud Unit Economics

In the third quarter of fiscal year 2026, the company delivered strong financial performance, exceeding revenue targets while expanding operating margins across all major operating segments. Total Annual Recurring Revenue (ARR) reached .5 million, representing a 34.2% year-over-year expansion. Non-GAAP operating income improved to .4 million, achieving an operating margin of 18.6% compared to 11.2% in the prior year period.

Subscription revenue constituted 92.4% of total revenue, driven by enterprise tier expansions and automated AI module add-on adoption. Net Revenue Retention (NRR) climbed to 124%, underscoring robust customer retention and strong upsell dynamics within Global 2000 strategic accounts. Customer acquisition cost payback period compressed from 16.4 months to 11.8 months.

Gross margin expanded 280 basis points year-over-year to 78.4%. Strategic renegotiations with cloud service providers and inference optimization for our proprietary NLP pipelines reduced per-query compute costs by 41.5%. Free cash flow generation reached .1 million for the quarter.

Management increases full-year ARR guidance to between million and million, reflecting strong pipeline velocity and sustained enterprise demand across North America and European enterprise markets.